

		Defendant is granted leave to file a final amended cross-complaint within 10-days of the hearing. <i>CD to give notice.</i>
11.	Gooding v. Hought 22-1271459	The Motion for Summary Judgment, or in the alternative Summary Adjudication, filed by Defendant Harbor View Hills Community Association ("Defendant" or "HOA") is DENIED. A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. (<i>CCP § 437c(p)(2)</i>; <i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850-51.) If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. (<i>Binder v. Aetna Life Ins. Co.</i> (1999) 75 Cal.App.4th 832, 840.) If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. (<i>CCP §437c(p)(2)</i>; <i>Aguilar</i>, 25 Cal.4th at 850-51.) Issue 1: Third Cause of Action- Breach of Governing Documents The claim for breach of the governing documents is a breach of contract claim. (See <i>Harvey v. The Landing Homeowners Assn.</i> (2008) 162 Cal. App. 4th 809, 817.) To the extent the law or governing documents conflict, <i>Section 4205</i> of the Davis-Stirling Common Interest Development Act (<i>Civ. Code, §§ 4000 et seq.</i>; "Davis-Stirling Act") sets forth the weight of authority from greatest to least: (1) law, (2) the CC&Rs, (3) the articles of incorporation, (4) the bylaws, and (5) the operating rules. (<i>Civ. Code, §§ 4135, 4205.</i>) Plaintiffs allege the governing documents were breached "by: f. failing to enforce the Governing Documents against Hought; g. failing to enjoin Hought's wrongful conduct; h. selectively and disparately enforcing the Governing Documents in violation of its obligations under the Governing Documents and the Davis-Stirling Act including but not limited to its obligation to follow the Governing Documents for the benefit of each owner of the properties described in the Governing Documents;

- i. violating Plaintiffs' substantive and procedural due process rights under the Governing Documents, California Law, and Federal Law including willfully omitting Plaintiffs from communications related to owners' objections to the Houpt construction project, failing to provide timely notice to owners, and denial of owners' rights to appeal; and
- j. breaching the Governing Documents, including but not limited to Sections 1, 4, 5, 6, 12, 13, 19 of the Architectural Guidelines; Article VI, Section 1, Article VII Section 1(a), and Article X, Section 1 of the CC&Rs; and Article VII, Section 7 of the Bylaws." (Complaint ¶ 81.)

Defendant relies heavily on the judicial deference rule as a complete defense to all causes of action. That rule states that "[a] mistake of judgment on the part of a board of directors does not justify taking the control of corporate affairs from the board of directors and placing it with the stockholders. The board of directors may make incorrect decisions, as well as correct ones, so long as it is faithful to the corporation and uses its best business judgment." (*Beehan v. Lido Isle Community Assn* (1977) 70 Cal.App.3d 858, 866-867.) Such decisions "must be judged in light of the facts at the time the board considered the matter." (*Id.* at 866.)

While the judicial deference rule may shield Defendant from liability as to the approval of the plans based on the impact on various residents' views under Dolan-King, Defendant presents no authority to suggest that it shields against the alleged failure to notify Plaintiffs under the Guidelines. (See *Dolan-King v. Rancho Santa Fe Assn.* (2000) 81 Cal.App.4th 965, 978-979 [trial court cannot substitute its judgment the Association's judgment in applying building restrictions].) All cases cited indicate the rule applies when the Association is exercising some measure of discretionary power, not to alleged violations of the Association's own rules and guidelines. (See *Haley v. Casa Del Rey Homeowners Assn.* (2007) 153 Cal.App.4th 863, 875; *Watts v. Oak Shores Community Assn.* (2015) 235 Cal.App.4th 466, 473-75; *Beehan v. Lido Isle Community Assn.* (1977) 70 Cal.App.3d 858, 866-67.)

While Defendant asserts that Mr. Gooding had no right to notification of the preliminary approval under Section 5.3.7(d) of the Guidelines because "Mr. Gooding ceased to be a complaining neighbor" when he was shown the plans and did not comment. (Motion, page 20, lines 26-27.) Section 5.3.7(d) provides "When the ARC completes its review of the application, a letter indicating approval

or disapproval is sent to the applicant, with copies to affected Association Members. There is a two-week period for appeal (to the HVHCA Board) of the ARC decision. Plans are not considered approved until signed by the ARC Chairperson or a designated ARC Member." (UMF 53.)

Defendant does not cite any provision in the guidelines that defines "affected Association Members", but does cite a provision at Section 5.3.4(d)(i) where "ARC recommends Applicants obtain review comments from two (2) neighbors on each side, two (2) neighbors below, and four (4) neighbors upslope." (UMF 37.) Section 5.3.4(d) does define "potentially affected neighbor" as "any neighbor in whose line of vision construction occurs". (Plaintiffs' Additional Material Facts ("AMF") 102.) As Mr. Gooding did contact the Association in response to the original staking, who instructed Defendant Houpt to include Gooding in the notifications, it is clear that he was, at the very least, a potentially affected neighbor.

Defendant argues that Plaintiffs miss the distinction in the Guidelines between "potentially affected neighbors" and "affected members", as all of their arguments are based on the definition of the former, not the latter. However, Defendant never points to a definition of "affected member" in asserting that Plaintiffs do not qualify. Without a clear definition of "affected members", as opposed to "potentially affected neighbors", Defendant cannot establish that Plaintiffs were not entitled to notice of the preliminary approval and the start of the two-week appeal period to allow them to appeal to the Board. As such Defendant has not met their initial burden to show either a complete defense or that Plaintiffs cannot establish, as a matter of law, some element of the claim.

Accordingly, summary judgment and summary adjudication of this claim is **DENIED**.

Issue 2: Fourth Cause of Action- Breach of Fiduciary Duty

The elements of a claim for breach of fiduciary duty are: (i) the existence of a fiduciary relationship; (ii) its breach; and (iii) damage proximately caused by that breach. (*Tribeca Companies, LLC v. First American Title, Ins.* (2015) 239 Cal.App.4th 1088.) Associations owe a fiduciary duty to their members. (*Raven's Cove Townhomes, Inc. v. Knuppe Development Co.* (1981) 114 Cal.App.3d 783; *Cohen v. Kite Hill Community Assn.* (1983) 142 Cal.App.3d 642.) As the same breaches are alleged for this claim as the third cause of action, Defendant's arguments are minimal, asserting merely

that "the Association afforded Plaintiffs ample due process, treated them the same or better than as other owners, and made its decision in a reasonable and expeditious manner." (Motion, page 21 lines 26-28.)

As noted above, Defendant has failed to establish that it was not required to give notice to Plaintiffs, particularly Gooding, under the Guidelines. As it is unclear whether Plaintiffs were entitled to notice and the opportunity to appeal, Defendant cannot establish, as a matter of law, that Plaintiffs' breach of fiduciary duty claim fails or that the judicial deference rule is a complete defense based on the alleged failure to comply with the HOA's own rules. Accordingly, summary judgment and summary adjudication on this cause of action is **DENIED**.

Issue 3: Fifth Cause of Action- Declaratory and Injunctive Relief

A cause of action for declaratory relief has two elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party. (*Brownfield v. Daniel Freeman Marina Hosp.* (1989) 208 Cal.App.3d 405, 410.) Defendant's burden is to show the plaintiff is not entitled to a declaration in its favor by establishing: (1) the sought-after declaration is legally incorrect, (2) undisputed facts do not support the premise for the declaration, or (3) the issue is otherwise not one that is appropriate for declaratory relief. (*Id.* at 1042.)

Again, Defendants rely entirely on the judicial deference rule as a complete defense to all claims. However, as noted above, that rule does not bar Plaintiffs' claims against the Association. Thus, summary judgment adjudication as to this issue is **DENIED**.

Issues 4-6: Punitive Damages

Defendant asserts that the complaint does not support an award of punitive damages as to any of the claims against the Association. As indicated in the Opposition, Plaintiffs are not seeking punitive damages against the HOA at all. The prayer for punitive damages is only as to the fraud causes of action against Defendant Houpt. Accordingly, the motion is **MOOT** as to these three issues.

Based on the ruling above, summary judgment is **DENIED**, and summary adjudication is **DENIED** as to issues one, two, and three. Summary adjudication is **MOOT** as to issues four, five and six.

Moving party to give notice.

12.	Malone v. McCloud Bros Inc. 22-1295099	The Motion for Summary Judgment, or alternatively for Summary Adjudication by McCloud Bros. Inc. ("McCloud") is DENIED, as set forth herein. The Complaint asserts two causes of action arising from the auto accident. The first is for Motor Vehicle and the second is for General Negligence. Both causes of action are based on plaintiff's allegation that Cody Miller was negligent in the operation of the vehicle and was employed by McCloud Bros. Inc. at the time he operated the vehicle. Plaintiff asserts that as a result of Cody Miller being employed by McCloud Bros. Inc. at the time of the accident, McCloud is vicariously liable for her injuries. (Complaint ¶¶10, MV-2, GN-1) An employer is vicariously liable for its employee's conduct when the employee was acting within the scope of her employment. (<i>CACI No. 3701</i>) McCloud does not argue or submit evidence that it is not vicariously liable. Miller's status at the time of the accident is not disputed. McCloud states in the motion that it hired Miller as an Operator on 6/29/20. (UMF 6) McCloud owned the vehicle Miller was driving at the time of the accident. (UMF 4) At the time of the accident, Miller was working for McCloud. (UMF 3) While the complaint includes alternative allegations of negligent entrustment, hiring, supervision and retention of Miller, there remains a question of fact as to whether McCloud is vicariously liable for the negligence of its employee. Since McCloud has not met its burden of establishing that it is not vicariously liable for the acts of its employee, the motion is DENIED. In addition to the foregoing, the motion is also DENIED pursuant to <i>CCP §437c(h)</i>. This subsection states in part that "if it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just." Here, Plaintiff submits evidence that Miller has failed to appear for his court ordered deposition on 10/21/24. (Aaron Miller Decl. ¶7; Exhs. C-D) The history leading up to the discovery motion that resulted in the order to appear, along with plaintiff's subsequent conduct, is evidence of plaintiff's diligence in attempting to obtain
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